

The essential truth, then, that sums up each of these inarguable points: On balance, the financial system subtracts value from our society.

Those are the modern realities of our financial system, but they have been building for a long time, just as the financial sector itself has been building for many decades into the largest single element of the American economy. We have moved to a world where far too many of us seemingly no longer make anything; we're merely trading pieces of paper, swapping stocks and bonds back and forth with one another, and paying our financial croupiers a veritable fortune. In the process, we have inevitably added even more costs by creating ever more complex financial derivatives in which huge and unfathomable risks have been built into the financial system.

Warren Buffett's wise partner Charlie Munger lays it on the line:

Most money-making activity contains profoundly antisocial effects. . . .As high-cost modalities become ever more popular . . . the activity exacerbates the current harmful trend in which ever more of the nation's ethical young brain-power is attracted into lucrative money-management and its attendant modern frictions, as distinguished from work providing much more value to others.

I share Mr. Munger's concern about the flood of young talent into a field that inevitably subtracts so much value from society. When I speak to college students, I often say exactly that. But I never advise them directly not to go into the field of managing money. Words alone aren't going to discourage anyone from entering a field so highly profitable. Rather, I ask young graduates to consider three caveats before doing so. And I would ask you, whatever your calling, to consider these same caveats and how they might apply to your own life and your own understanding of how, in our own transitory lives, we go beyond what is "enough" in the search for satisfaction